Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Thesis

Current Supply: 121,603,980 ETH | Price: $2,243 | Base Gas: 0.1 Gwei

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Net supply change results from issuance to validators minus EIP-1559 base fee burn

Current Supply
121,603,980 ETH

7-Day Net Change
+19,445.89 ETH

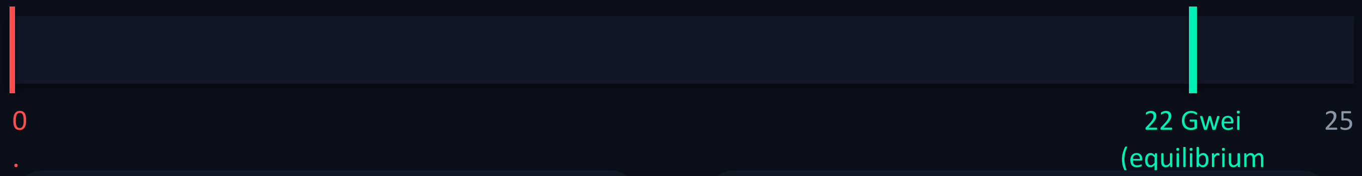
Annualized Growth
+0.83%/year

Issuance Offset Ratio: 0.01x
Burns offset only ~1% of new issuance at current gas levels.

Gas Context
Min: 0.0 Gwei
Max: 1.3 Gwei
Avg: 0.1 Gwei

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 destroys base fees; low gas = low burn = temporary supply inflation



Gas Range (7D)
Min: 0.0 Gwei
Max: 1.3 Gwei
Avg: 0.1 Gwei

Blob Gas (EIP-4844)
Avg: 7,144,934 wei
Blob fee burn: 0.15 ETH
($319 over 7 days)

Normalized Burn Assumption
~2,200 ETH/day burn at sustained activity vs 2,800 ETH/day PoS issuance

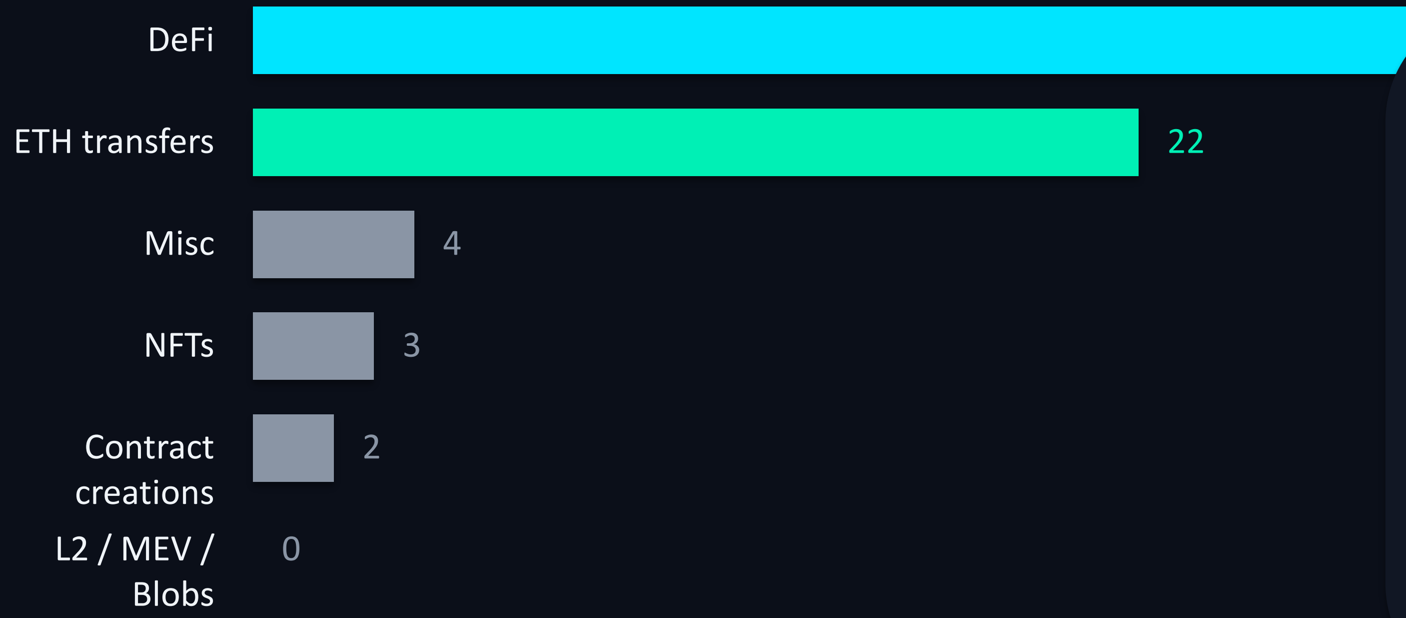
Why It Matters

At 0.1 Gwei, fee burn is negligible. The ultra sound money thesis requires sustained on-chain activity to push gas toward the 22 Gwei equilibrium. Until then, ETH remains mildly inflationary.

Recent blocks (24,850,874–24,850,879) show burns of 0.00–0.01 ETH per block. 7-day burn record: 0.07 ETH in a single block.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Burn categories and top contracts over the trailing 7 days



DeFi (31 ETH) + ETH transfers (22 ETH) = 53 ETH, or ~85% of total weekly burn.

Top Burn Contracts (7D)

ETH transfers: 21.74 ETH
Tether USDT: 13.55 ETH
Various DeFi contracts

Total Burned: ~192 ETH

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Staking creates a powerful supply lock while validator yield is dominated by protocol issuance

38.9M ETH Staked
~32% of total supply

Scarcity Engine
9.1M ETH locked
Avg 10.7 years

Total Validator APR
~2.9%

Reward Breakdown

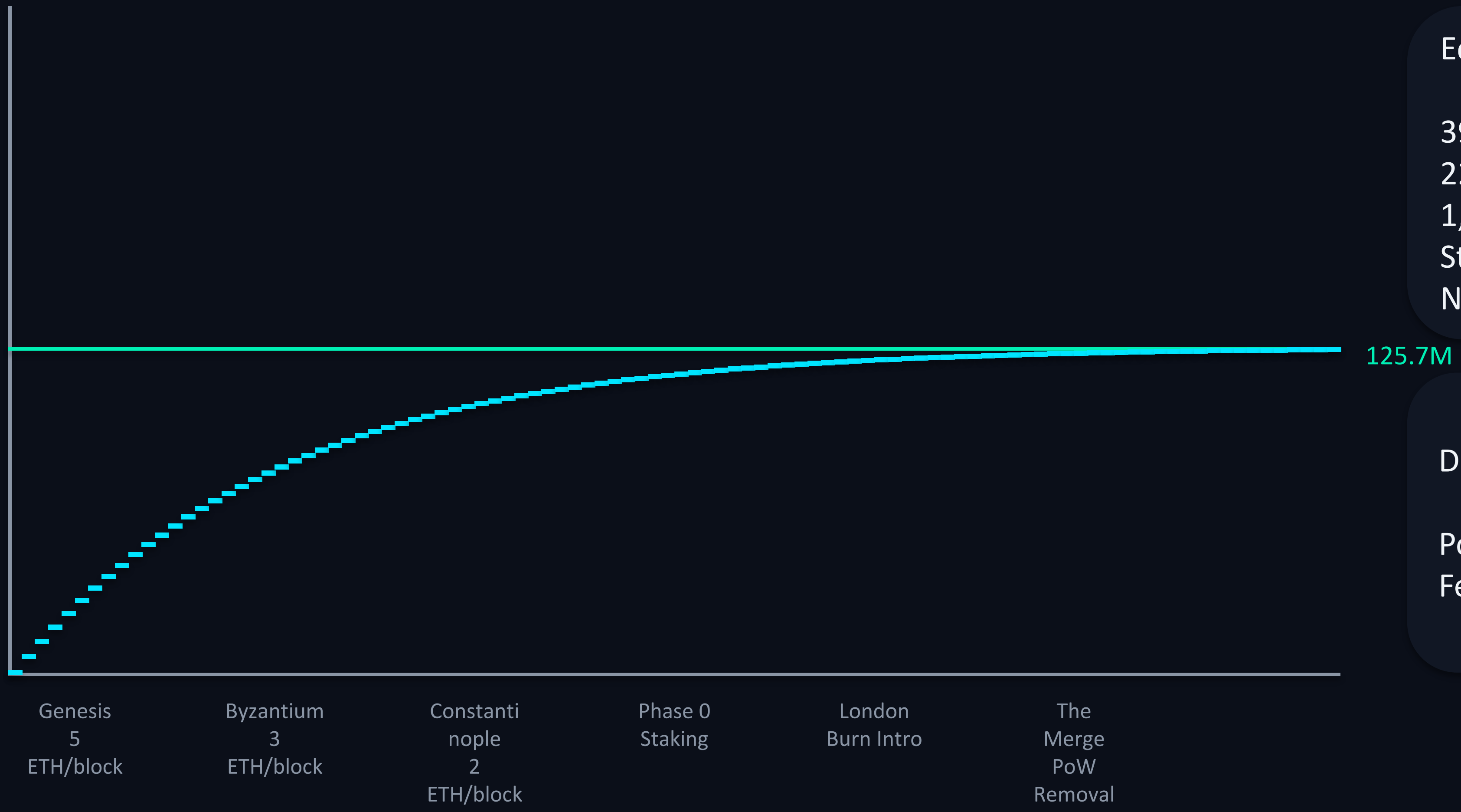
Issuance: 0.9 ETH/validator
Tips: 0.0 ETH
MEV estimate: 0.0 ETH

PoS issuance: ~2,800 ETH/day

With tips and MEV near zero, validator yield is almost entirely protocol-driven issuance — reinforcing the link between staking participation and supply growth.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-year supply trajectory converging toward equilibrium under sustained activity assumptions



Equilibrium Parameters

39M ETH staked
22 Gwei base gas
1,037K ETH/year balanced
Staker issuance: 2.7%/yr
Non-staker burn: 1.2%/yr

Daily Rates

PoS issuance: ~2,800 ETH/day
Fee burn (norm): ~2,200 ETH/day

ETH at 18.7% of Bitcoin's Market Cap, Securing $272B in Native Value

Flippening progress and Total Value Secured on Ethereum

Bitcoin	USD	Gold
18.70%	1.30%	0.89%

Total Value Secured: ~$307.6B

6,000+ community members ("fam") actively tracking these metrics.

Top ERC20s by Value
Dai: $4.41B
Shiba Inu: $3.51B
Cronos: $2.97B
Tether Gold: $2.65B

Top NFT Collections
CryptoPunks: $2.13B
BAYC: $0.68B
ENS: $0.63B
Pudgy Penguins: $0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

Summary of findings and forward-looking implications for investors

1. ETH is currently slightly inflationary at +0.83%/yr due to historically low gas (avg 0.1 Gwei). Burns offset only ~1% of issuance over the past 7 days.

2. The burn mechanism works structurally, but requires sustained on-chain activity. DeFi and ETH transfers dominate burn (~85% of 192 ETH weekly), yet absolute volumes are negligible at current gas levels.

3. 38.9M ETH staked (~32% of supply) creates a significant supply lock. Validators earn ~2.7% APR primarily from protocol issuance, with minimal tips or MEV.

4. Long-term equilibrium at 125.7M ETH is structurally sound under a 22 Gwei average gas assumption, balancing ~1,037K ETH/year in issuance and burn.

5. Flippening progress and $307B+ TVS demonstrate growing monetary premium. ETH has reached 18.7% of Bitcoin's market cap while securing $272B in native value.

Forward-Looking Implication: The ultra sound money thesis is not a guarantee of immediate deflation — it is a conditional equilibrium. Investors should monitor gas market recovery, L2 adoption, and staking participation as the key levers determining ETH's supply trajectory over the coming years.